

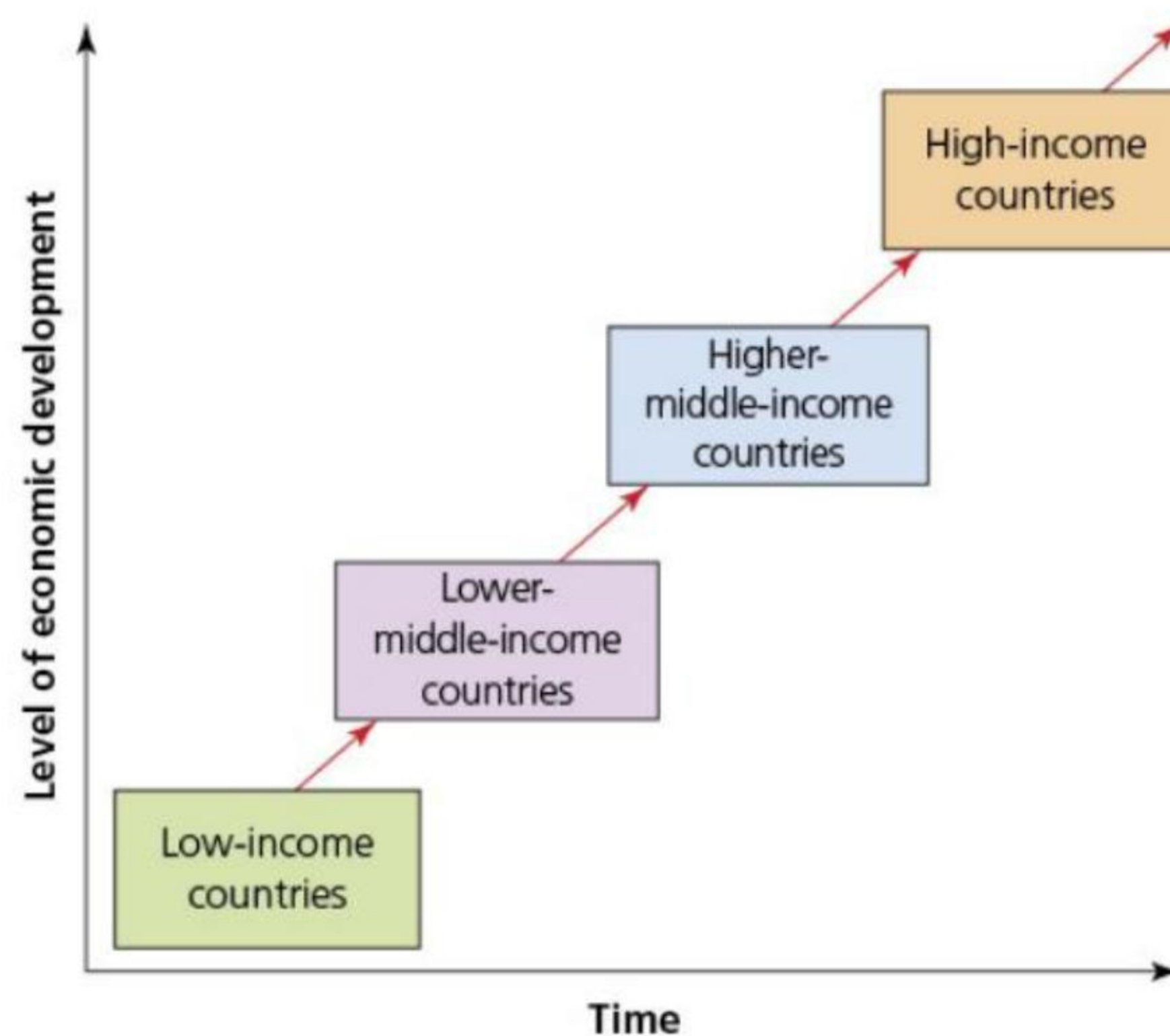
8.2 The world is developing unevenly

This chapter will explain:

- ★ the global pattern of LICs, MICs and HICs
- ★ the development gap.

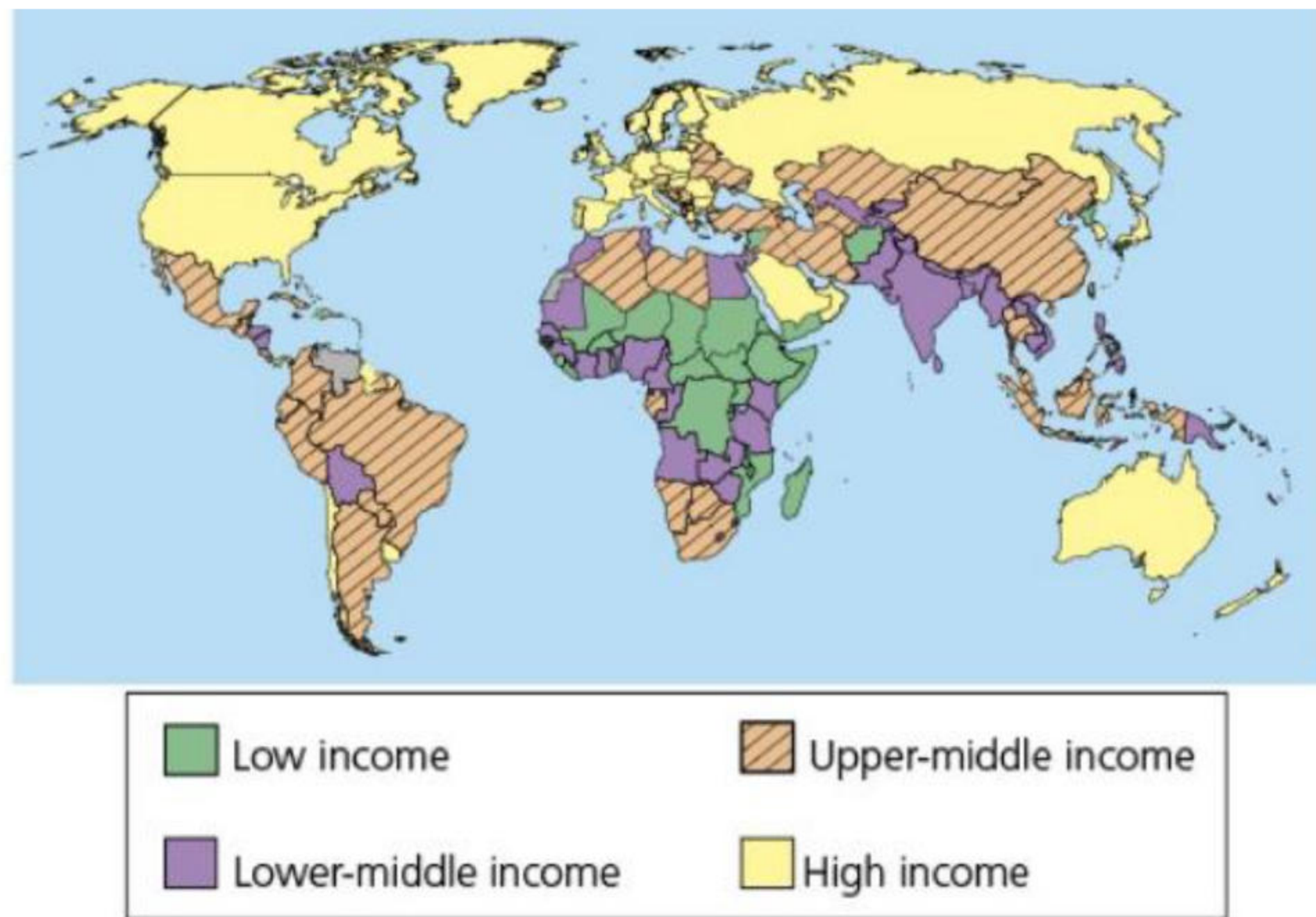
The global pattern of LICs, MICs and HICs

A reasonable division of the world in terms of economic development is shown in [Figure 8.8](#), which identifies three broad global income groups – low-income countries (LICs), middle-income countries (MICs) and high-income countries (HICs). The MICs group of countries is often subdivided (as it is in [Figure 8.8](#)) into lower-middle income and upper-middle income. This is because of the very wide range of income and the number of countries involved in the MIC category.



▲ **Figure 8.8** The stages of development

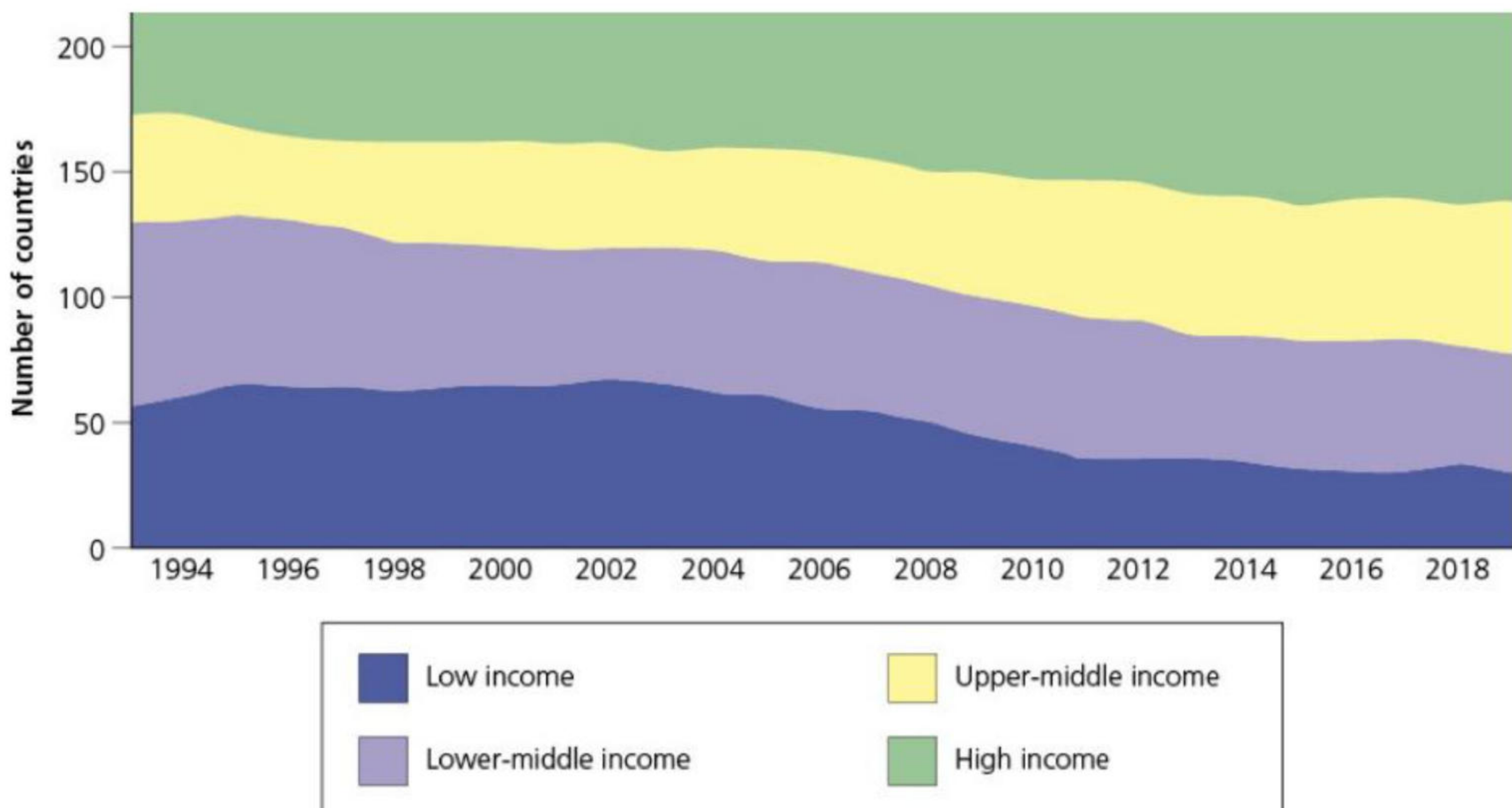
As countries develop economically and socially they can move up the '**ladder of development**', but under significant adverse circumstances they can also move down. [Figure 8.9](#) shows the global pattern of countries by income group published by the World Bank in 2024, using 2022 data. The World Bank uses GNI per capita data in US dollars, converted from local currency using the World Bank Atlas method, which averages out exchange rate fluctuations. Examples of countries in each income group are given in [Table 8.5](#).



▲ **Figure 8.9** The global pattern of countries by income group

▼ **Table 8.5** Examples of countries in each income group in 2024

Income group	GNI per capita	Example countries
High income	\$13,846 or more	USA, Canada, Germany, UK, Japan, Australia
Upper-middle income	Between \$4466 and \$13,845	Brazil, Argentina, Turkey, China, Indonesia, South Africa
Lower-middle income	Between \$1136 and \$4465	Bolivia, Algeria, Nigeria, India, Iran, Vietnam
Low income	\$1135 or less	Ethiopia, Afghanistan, Sudan, DR Congo, Mozambique, Somalia



▲ **Figure 8.10** Changes in the number of countries by income group, 1993–2019

[Figure 8.10](#) shows that between 1993 and 2019:

- » The number of high-income countries increased considerably.
- » The number of low-income countries declined sharply, particularly from the early 2000s.
- » The number of middle-income countries changed to a much lesser extent, as countries transitioned both into and out of this group.

In the 1990s, more than six in 10 people in the world lived in low-income countries. Today it is less than one in 10. However, critics of the World Bank system of income classification say that with only a small proportion of the world's population classified as low income and as income thresholds have not changed since 1988 (in real terms), these income groups are somewhat arbitrary and dated.

Low-income countries

LICs are located predominantly in Africa, with most of the rest in Asia ([Figure 8.9](#)). With a total population of over 600 million, LICs accounted for just over 1.1 per cent of global GNI in 2023. In the same year, LICs contributed about 1 per cent to world trade. [Table 8.6](#) shows World Bank data comparing LICs with MICs and HICs on a range of indicators.

▼ **Table 8.6** World Bank data comparing LICs, MICs and HICs

Indicator	Year	LICs	MICs	HICs
Population total (billion)	2023	0.723	5.9	1.4
Population growth (% p.a.)	2023	2.7	0.8	0.5
Poverty ratio (% pop.)	2022	44.5	N/A	0.3
Life expectancy at birth (years)	2022	63	71	80
Unemployment (%)	2023	5.3	5.1	4.4
CO ₂ emissions (tonnes per capita)	2020	0.3	3.7	7.8
Access to electricity (% pop.)	2022	44.9	94.9	100.0
People using safely managed sanitation services (% pop.)	2022	24	55	91

LICs are often **primary product dependent** (commodity dependent). This occurs when a country relies on one or a small number of primary products for most of its export earnings. As the gap between the richest and poorest countries in the world widens, LICs are being increasingly **marginalised** in the world economy. Marginalisation is the process of being pushed to the edge of global economic activity and of being largely left out of positive economic trends. The term can be applied to countries, to regions within countries, and to groups within a population – the poorest, the unemployed, the most vulnerable ([Figure 8.11](#)). There are great concerns that marginalisation has increased under the process of globalisation. The problems of LICs are often made worse by major geographical handicaps and natural and human-made disasters. Examples include the following:

- » The catastrophic earthquake in Haiti in 2010 that killed an estimated 220,000 people and caused massive damage. Another severe earthquake hit Haiti in August 2021.
- » Bangladesh experiences flooding every year, and when flooding is severe it can impact 75 per cent of the country. About three-quarters of Bangladesh is less than 10 metres above sea level.
- » Small Island Developing States (SIDS) are the most disaster-prone countries in the world. They are regularly impacted by severe storms and other natural hazards. According to the United Nations Conference on Trade and Development (UNCTAD), this causes on average an annual damage of 2.1 per cent of GDP.



▲ **Figure 8.11** Poor transport infrastructure in remote regions is a major obstacle to development

The UN has called for increased investment in the **productive capabilities** of the LIC countries. This refers to the productive resources, entrepreneurial capabilities and production links that together determine a country's capability to produce goods and services, and to enable it to grow and develop.

LICs have experienced more frequent instances of **growth collapse** than other groups of countries. Growth collapse is a significant decline in economic activity brought about by factors such as a global economic shock or by the impact of a major natural hazard. Covid-19 is the latest example of a growth collapse, reversing progress achieved on several development dimensions.

Middle-income countries

Middle-income countries (emerging economies) are nations that have moved up the development ladder, having at different times in the past been considered LICs. MICs account for about 75 per cent of the

world's total population and around 62 per cent of those in poverty. Representing about a third of global GDP, the most dynamic MICs are the fastest-growing economies in the world.

The first countries/territories to make the transition from low to middle income (in the 1960s) were South Korea, Singapore, Taiwan and Hong Kong ([Figure 8.12](#)). The media referred to them as the 'four Asian tigers'. A '**tiger economy**' is one that is growing rapidly. The reasons for the success of these countries/territories were:

- » a good initial level of infrastructure
- » a skilled but relatively low-cost workforce
- » cultural traditions that revere education and achievement
- » governments that welcomed foreign direct investment from transnational corporations
- » distinct advantages in terms of geographical location
- » the ready availability of bank loans for businesses, often extended on government orders and at attractive interest rates.



▲ **Figure 8.12** Hong Kong was one of the newly emerging economies that began to develop in the 1960s

The success of the four Asian tigers provided a model for others to follow, such as Malaysia, Brazil, China and India. South Korea and Singapore have developed so much that they are now considered to be HICs.

High-income countries

The high-income group of countries covers an interesting range. The core of this group is the traditional developed countries, long recognised by the United Nations – Northern America, Western Europe, Japan, Australia and New Zealand. It also includes the following countries/territories:

- » Emerging economies/newly industrialised countries that have developed since the 1960s, so far and so fast that they have reached high-income status. Examples are Singapore, South Korea and Hong Kong.
- » Small island nations within the European Union. Examples are Cyprus and Malta.
- » Eastern European countries that have joined the European Union since the disintegration of the Soviet Union.
- » Countries that have become rich through the exploitation of natural resources, particularly oil and gas. Examples are the UAE, Bahrain and Guyana.
- » Tax havens such as the Cayman Islands and the British Virgin Islands.
- » Small countries/territories where tourism has expanded rapidly and profitably, such as the Seychelles and Aruba.

Activities

- 1 **a** Define primary product dependency.
b What are the disadvantages of a country being primary product dependent?
 - 2 What do you understand by the terms:
a productive capabilities
b growth collapse?
 - 3 Compare LICs, MICs and HICs for three of the indicators in [Table 8.6 \(page 185\)](#).
 - 4 **a** What is a tiger economy?
b Identify the factors responsible for the development of the first generation of tiger economies in the 1960s.
 - 5 In what ways do some of the HICs identified by the World Bank differ from the traditional developed countries, long recognised by the United Nations?
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Explaining the development gap

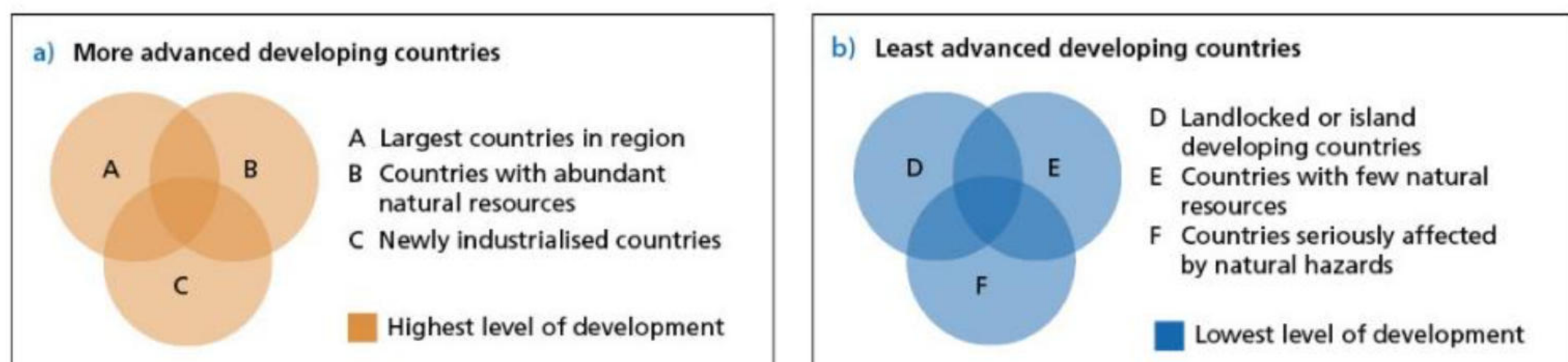
There has been much debate about the causes of development and the extent of the **development gap**.

The variations between countries are due to a range of factors. Physical geography can have a major impact on development.

- » **Landlocked countries** (for example Niger and Nepal) have generally developed more slowly than coastal nations. Lacking direct access to sea ports increases the cost of importing and exporting goods as these need to be transported through one or more neighbouring countries.
- » Small island countries (for example Kiribati and São Tomé and Príncipe) face considerable disadvantages in development. They often have limited raw materials and are highly dependent on tourism. Most are also highly vulnerable to the effects of climate change.
- » Tropical countries have grown more slowly than those in temperate latitudes, reflecting the costs of poor health and unproductive farming in more challenging physical environments. Poor health is a result of high prevalence rates of a range of tropical diseases, along with poor nutrition due to low agricultural productivity.
- » A generous allocation of natural resources has spurred economic growth in a number of countries, but there are examples where resource wealth has been wasted (for example Nigeria, a major oil producer).

Appropriate, realistic and well-applied economic policies can be an important factor in the development process:

- » **Open economies** that encouraged foreign investment have developed faster than closed economies. Some MICs and LICs have established special economic zones to attract foreign direct investment. However, political manipulation by developed nations has sometimes caused developing nations to open their economies too fast or in other unhelpful/unsustainable ways.
- » Fast-growing countries tend to have high rates of saving and low spending relative to GDP. A high rate of saving can provide money for investment in infrastructure for transport, energy, health, education, housing and water supply.



▲ **Figure 8.13** Venn diagrams showing fast and slow development in developing countries

- » **Institutional quality** in terms of good government, law and order, and lack of corruption generally result in a high rate of growth. These positive attributes also encourage foreign direct investment.

Progress through demographic transition is a significant factor, with the highest rates of economic growth experienced by those nations where the birth rate has fallen the most, due to women being able to access education and be included in the workforce.

Figure 8.13 combines a range of factors to explain differences in development. For example, in diagram (a), Brazil would satisfy all three criteria. It is by far the largest country in South America, it has abundant natural resources, and it is an emerging economy. In contrast, countries such as Haiti and Niger would be affected by all three of the negative factors in diagram (b), based on a history of colonisation, which affected their land and borders, infrastructure development and debts.

Colonialism and neo-colonialism

Colonialism occurs when one country takes control of another and dominates it politically and economically. It involves people from the colonial power invading and settling in the newly controlled country. The age of 'modern colonialism' began around 1500, following the European discovery of both America and a sea route around Southern Africa. Portugal and Spain dominated the early period of colonialism, but were later followed by the Netherlands, Britain, France, Germany and Belgium.

Colonialism spread at a particularly fast pace in the eighteenth and nineteenth centuries. A period of special note was the 'Scramble for Africa' (or the Partition of Africa) between 1880 and the beginning of the First World War (1914). This involved the colonisation and division of most of Africa by the seven European powers named above. By the early twentieth century, a large majority of the rest of the world had been colonised by the European powers at some point in time. These actions by colonial powers brought about massive negative changes in many countries. Resistance to the colonisers was overwhelmingly met with violence and intimidation.

The European countries exploited their colonies for economic gain (both in terms of raw materials and labour), causing enormous suffering and future damage as a result of their actions. The imposition of unequal trading relationships has had a long-lasting effect. However, slavery was undoubtedly the most brutal aspect of colonialism.

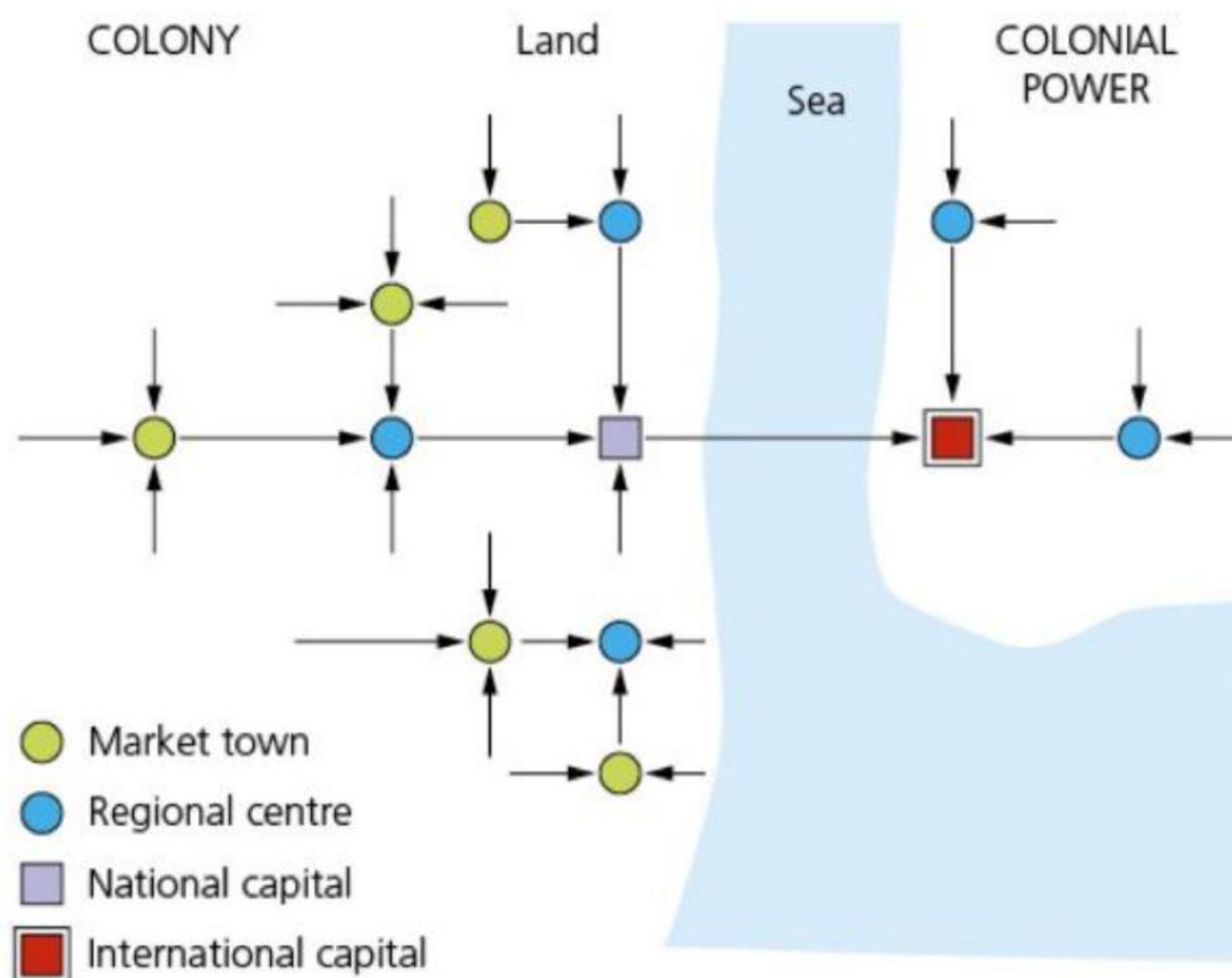
In the modern world, the term '**neo-colonialism**' is used to describe how HICs can still dominate LICs in an economic and political sense.

Dependency theory was developed to help explain the impact of these processes. In the late 1960s, the

economist A.G. Frank produced a theory that was critical of **capitalism**. He argued that:

- » Poverty in the developing world was not an original condition, but that it developed through the spread of world capitalism. Many countries had been prosperous before the arrival of European colonists.
- » The process of absorption into the capitalist system sowed the seeds of underdevelopment.
- » The development of European and other dominant countries was achieved by the extraction of resources from developing countries.
- » Developing countries became even more dependent on the West through substituting the production of export goods where once local food crops prevailed.
- » The stronger the links to the developed world, the worse the level of development in LICs.

Frank used a simple model to explain how the '**economic core**' (the developed world) exploited the '**economic periphery**' (the developing world). His model (Figure 8.14) shows a chain of exploitation. It begins with small towns in the periphery exploiting resources from their surrounding rural areas. This process of exploitation works its way up the urban hierarchy in the periphery until, finally, the largest settlements are exploited by cities in the colonial power. The intensity of poverty increases with the number of stages down the chain of exploitation. As with most theories that try to explain complex situations, dependency theory has its advocates and critics.



▲ **Figure 8.14** Dependency theory

The roles of trade and investment in development

Trade and investment play a key role in economic development. Investment in a country is the key to it increasing its trade. Some developing countries have increased their trade substantially in recent decades. Examples are China, India, Brazil and Mexico. Such countries have attracted the bulk of foreign direct investment. The emergence of newly industrialised countries (emerging economies) has been the biggest success of globalisation.

However, about 2 billion people live in countries where trade has fallen in relation to national income. In a sense, these countries have become less globalised rather than more! The share of world trade for many of the world's low-income countries has fallen in recent decades. Non-governmental organisations (NGOs) argue strongly that trade is the key to real development, being worth many times more than international aid. These NGOs continue to criticise the ways in which world trade operates to the detriment of developing countries. Sometimes, when a developing country increases the volume of its exports, its revenues have declined due to a fall in prices on the world market.

Political and economic policies

Open economies such as the UK and Singapore that encourage foreign investment have developed faster than countries that have much greater controls on foreign investment. Large-scale investment can create significant economic **multiplier effects**. Closed economies engage in only limited trade and other contacts with the outside world. Their development tends to suffer as a consequence. North Korea is the most extreme example of a closed economy. However, the strong market **protectionism** practised by some Western countries undermines them being perceived as open economies.

Until the early 1990s, India was a relatively closed economy. There were very high tariffs on imports, along with other restrictions. Reducing barriers to trade was an important part of the economic reforms the country made at the time. As India became more integrated into the global economy, the volume of both its exports and its imports rose sharply.

Social investment

Countries that have prioritised investment in education and health have generally developed at a faster rate than nations that have invested less in these sectors. High standards of education and health are vital for sustainable development. When Sierra Leone gained independence in 1963, it reduced investment in its health system. Since then the country’s economy has struggled.

In contrast, Botswana has been described by the UNDP as ‘one of Africa’s veritable economic and human development success stories’. Instead of squandering the wealth generated by its diamond and tourist industries, it invested heavily into health and education. Primary school attendance up to age 13 is almost 90 per cent and 85 per cent of the population now live within 3 miles of a health facility. A healthy and well-educated population attracts investment and therefore encourages development. However, even affluent countries can struggle to provide enough investment for healthcare, as the Covid-19 pandemic illustrated.

As countries develop, fertility declines. Greater availability and knowledge of contraception and family planning is key to lower fertility. In addition, female education can create greater social awareness and opportunities for employment.

Technology and development

There are big differences between countries in their capacity to create and use technology for economic growth and development. Technology has significant potential to help deliver the Sustainable Development Goals (see [page 192](#)). However, it can also be at the root of exclusion and inequality. The development of human skills is fundamental to technological capacity. It is important to harness the benefits of advanced technologies for all. **Technology transfer** from developed nations to developing countries can play an important role in reducing the technology gap and aiding the development process.

Digital technology has the potential to tackle poverty by providing access to basic services such as e-health, online education and business advice. It can also be used by governments to better connect to their populations through e-government tools. The number of internet users worldwide increased from 2.08 billion in 2012 to 4.95 billion in 2022. The ‘**digital divide**’ is a term used to refer to inequalities in access to ICT. Such inequality can be seen between:

- » developed and developing countries
- » urban and rural areas
- » ethnic and socioeconomic groups in the same country
- » different age groups
- » males and females.

The **internet penetration rate** is the percentage of a total population that use the internet. It is a measure often used to illustrate the technology gap between world regions ([Table 8.7](#)). For individual countries in 2022, South Korea, the UK and Switzerland all reported internet penetration rates of 98 per cent. However, it is not just internet connection in itself, but also the speed of connection that has become increasingly important.

▼ **Table 8.7** The internet penetration rate by world region, 2022

Region	Estimated internet penetration rate, 2022 (%)
World	66.2
Africa	43.1
Asia	64.1
Oceania	70.1
Middle East	76.4
Latin America/Caribbean	80.4
Europe	88.4
North America	93.4

Culture and development

In recent decades, **culture** has come to be viewed as an important factor in development. Culture can be defined as the total of the inherited ideas, beliefs, values and knowledge that constitute the shared basis of social action. It is the way of life of a particular society or group of people. For example, materialism and consumer culture are clearly more important in some countries than in others. Societies that are largely secular may appear to have different priorities to those that are not.

A 2018 British Council report stated, ‘When people or communities are given the opportunity to engage with, learn from and promote their own cultural heritage, it can contribute to social and economic development.’ A number of UN reports have highlighted the important contribution of indigenous cultures to sustainable development. Respect for cultural diversity helps to promote inclusive societies. The cultural and creative sector of an economy can make an important contribution to GNI and employment. It can increase the attractiveness of a location as a destination to live, visit and invest in.

Activities

- 1 What are the particular disadvantages for development in landlocked countries and small island countries?
 - 2 **a** Define neo-colonialism.
b How can neo-colonialism hinder development in LICs?
 - 3 Briefly discuss the importance of trade and investment to economic development.
 - 4 Describe social investment.
 - 5 Draw a diagram to illustrate dependency theory.
 - 6 How important is access to modern technology for the development process?
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